

By Shankkar Aiyar

Cacophony rules. Charges of weakness and accusations of omission rent the air along with summer-time pollen, triggering allergic reactions that add to the high-decibel Babel. Not all hot air is a meteorological phenomenon as political bigwigs generate their own in dire desperation to be relevant. It would seem the battle in the summer of 2009 is about appearances, not ability; style, not substance. The cues are about a Mr Q, a rabble-rousing dynast and riots from the past, and the campaigners have no time for the future. There is a demand for a presidential-style debate but there is no debate on the challenges facing India.

India is poised on the brink, of opportunity and opprobrium. Caught in the vortex of a global slowdown that has derailed growth and terrorism in the neighbourhood, India no longer has the luxury of navel-gazing. The exigency is a fallout of wasted years. The unfinished agenda is replete with competing compulsions. Success defined by commitment to act will launch India into the next superpower orbit. The threat of failure should not be hard to imagine, not in this neighbourhood. Ergo, there is no room for fig leaves, delaying tactics or alibis. India is no longer just any Third-World economy, it is a trillion-dollar entity getting notice at global high tables. An inadequate response, inability to decouple national interest from party politics and sloth may just stall its migration to the First World. For too long, national interest has been subservient to political interest. Circumstance precludes hierarchy of choice. India must define and act in national interest.

Few nations in recent times have defined national interest better than China. Its practice of geopolitics—be it managing its relationships with the US or dictators, getting into Sri Lanka or dealing with the Taliban—is a subject for academic study. But it didn't get there without securing

economic growth. And it is in how it aligns the immediate with the long-term that merits study. The meltdown killed demand and sucked out liquidity. As most economies struggled to spur demand and find funds for investment, China created a queue of investments—including power projects worth \$6.5 billion—to kick-start domestic demand. While banks and the Government in India debated the nuances of lending and interest rates, Chinese banks lent \$733 billion in just four months of 2009, which is more than the total lending in 2008. Thanks to the rush of liquidity, overnight rates crashed and cheaper credit pushed up demand in retail and real estate. Exploiting low prices it is using its forex reserves to stock up commodities to fuel future growth. Is it any surprise then that China is looking at 8 per cent GDP growth for 2009?

India's challenges are its opportunities. It could surprise the world. It has scale in its billion-plus population. Its young working-age populace promises demographic dividends; it has deficits of every kind which when bridged would deliver consumption, incomes, growth and sustainable stature. Consider some translations of challenges into opportunities.



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